

Moved by Anthon

Seconded by Bernt

IN THE SENATE
SENATE AMENDMENT TO H.B. NO. 670

AMENDMENT TO THE BILL

On page 1 of the printed bill, delete lines 6 through 42; delete page 2; on page 3, delete lines 1 through 47, and insert:

"SECTION 1. That Section 63-301A, Idaho Code, be, and the same is hereby amended to read as follows:

63-301A. NEW CONSTRUCTION ROLL. (1) The county assessor shall prepare a new construction roll, which shall be in addition to the property roll, which new construction roll shall show:

(a) The name of the taxpayer;

(b) The description of the new construction, suitably detailed to meet the requirements of the individual county;

(c) The amount of taxable market value added to the property on the current year's property roll that is directly the result of new construction;

(d) The amount of taxable market value added as provided in subsection (3) (f) of this section as a result of dissolution of any revenue allocation area; and

(e) The amount of taxable market value to be deducted to reflect the adjustments required in this paragraph:

(i) Any board of tax appeals or court-ordered value change, if property has a taxable value lower than that shown on any new construction roll in any one (1) of the immediate five (5) tax years preceding the current tax year;

(ii) Any reduction in value resulting from correction of value improperly included on any previous new construction roll as a result of double or otherwise erroneous assessment;

(iii) Any reduction in value resulting from the exemption provided in section 63-602W(4), Idaho Code, in any one (1) of the immediate five (5) tax years preceding the current tax year; and

(iv) Any voluntary reduction in value reflecting a portion of certain homestead exemptions as provided in section 63-602G(10), Idaho Code.

(2) As soon as possible, but in any event by no later than the first Monday in June, the new construction roll shall be certified to the county auditor and a listing showing the amount of value on the new construction roll in each taxing district or unit shall be forwarded to the state tax commission on or before the fourth Monday in July. Provided however, the value shown in subsection (3) (e) of this section shall be reported to the appropriate county auditor by the state tax commission by the third Monday in July and the value sent by the county auditor to each taxing district. The value estab-

lished pursuant to subsection (3) (e) of this section is subject to correction by the state tax commission until the first Monday in September, and any such corrections shall be sent to the appropriate county auditor, who shall notify any affected taxing districts.

(3) Except as otherwise provided in this subsection, the value shown on the new construction roll shall include ~~ninety percent (90%)~~ of the taxable market value increase from:

(a) Construction of any new structure that previously did not exist, once it is completed and taxable;

(b) Additions or alterations to existing nonresidential structures;

(c) Installation of new or used manufactured housing that did not previously exist within the county;

(d) Property newly taxable as a result of loss of the exemption provided by section 63-602W(3) or (4), Idaho Code;

(e) The construction of any improvement or installation of any equipment used for or in conjunction with the generation of electricity and the addition of any improvement or equipment intended to be so used, except property that has a value allocated or apportioned pursuant to section 63-405, Idaho Code, or that is owned by a cooperative or municipality as those terms are defined in section 61-332A, Idaho Code, or that is owned by a public utility as that term is defined in section 61-332A, Idaho Code, owning any other property that is allocated or apportioned. No replacement equipment or improvements may be included;

(f) Provided such increases do not include increases already reported on the new construction roll as permitted in paragraphs (i) and (j) of this subsection, increases in value over the base value of property on the base assessment roll within an urban renewal revenue allocation area that has been terminated pursuant to section 50-2914, Idaho Code, to the extent that this increment exceeds the incremental value as of December 31, 2006, or, for revenue allocation areas formed after December 31, 2006, eighty percent (80%) of the increment value. Notwithstanding other provisions of this section, the new construction roll shall not include new construction located within an urban renewal district's revenue allocation area, except as provided in this paragraph or paragraph (k) of this subsection;

(g) New construction, in any one (1) of the immediate five (5) tax years preceding the current tax year, allowable but never included on a new construction roll, provided however, that for such property the value on the new construction roll shall reflect the taxable value that would have been included on the new construction roll for the first year in which the property should have been included;

(h) Formerly exempt improvements on state college-owned or state university-owned land for student dining, housing, or other education-related purposes approved by the state board of education and board of regents of the university of Idaho as proper for the operation of such state college or university, provided such improvements were never included on any previous new construction roll;

(i) Increases in base value when due to previously determined increment value added to the base value as required in sections 50-2903 and 50-2903A, Idaho Code, due to a modification of the urban renewal plan.

1 In this case, the amount added to the new construction roll will equal
 2 eighty percent (80%) of the amount by which the increment value in the
 3 year immediately preceding the year in which the base value adjustment
 4 described in this subsection occurs exceeds the incremental value as of
 5 December 31, 2006, or, for revenue allocation areas formed after Decem-
 6 ber 31, 2006, the entire increment value; and

7 (j) Increases in base value when due to previously determined incre-
 8 ment value added to the base value as a result of a de-annexation within
 9 a revenue allocation area as defined in section 50-2903, Idaho Code.
 10 In this case, the amount added to the new construction roll will equal
 11 eighty percent (80%) of the amount by which the increment value in the
 12 year immediately preceding the year in which the de-annexation de-
 13 scribed in this subsection occurs exceeds the incremental value as of
 14 December 31, 2006, or, for revenue allocation areas formed after Decem-
 15 ber 31, 2006, the entire increment value within the area subject to the
 16 de-annexation.

17 (k) In the case of a fire protection district or ambulance service
 18 district that encompasses all or part of any urban renewal revenue
 19 allocation area that such district withdrew from pursuant to section
 20 50-2906(5), Idaho Code, eighty percent (80%) of the increment value may
 21 be included on the new construction roll for the year in which the dis-
 22 trict withdrew from such urban renewal revenue allocation area. Each
 23 year thereafter, ~~ninety percent (90%)~~ of the taxable value of otherwise
 24 qualifying new construction shall be included in the new construction
 25 roll for such fire protection district or ambulance service district,
 26 even if such new construction would not otherwise qualify because it was
 27 located within a revenue allocation area.

28 (4) The amount of taxable market value of new construction shall be the
 29 change in net taxable market value that is attributable directly to the new
 30 construction or loss of the exemption provided by section 63-602W(3) or (4),
 31 Idaho Code. It shall not include any change in value of existing property
 32 that is due to external market forces such as general or localized inflation,
 33 except as provided in subsection (3) (f) of this section.

34 (5) The amount of taxable market value of new construction shall not in-
 35 clude any new construction of property that has been granted a provisional
 36 property tax exemption, pursuant to section 63-1305C, Idaho Code. A prop-
 37 erty owner may apply to the board of county commissioners, if an application
 38 is required pursuant to section 63-602, Idaho Code, for an exemption from
 39 property tax at the time the initial building permits are applied for or at
 40 the time construction of the property has begun, whichever is earlier, or at
 41 any time thereafter.

42 (6) The amount of taxable market value of new construction shall not in-
 43 clude any new construction of property for which an exemption from sales and
 44 use tax has been granted pursuant to section 63-3622VV, Idaho Code.

45 SECTION 2. That Section 63-802, Idaho Code, be, and the same is hereby
 46 amended to read as follows:

47 63-802. LIMITATION ON BUDGET REQUESTS -- LIMITATION ON TAX CHARGES --
 48 EXCEPTIONS. (1) Except as otherwise provided in this section, no taxing dis-

1 trict shall certify a budget request for an amount of property tax revenues
 2 to finance an annual budget that exceeds the maximum sum permitted under this
 3 section:

4 (a) (i) The highest dollar amount of property taxes certified for
 5 its annual budget for any one (1) of the three (3) tax years preced-
 6 ing the current tax year, which amount may be increased by a growth
 7 factor of not to exceed three percent (3%) plus the amount of rev-
 8 enue calculated as described in this subsection. ~~The taxing dis-~~
 9 ~~trict shall determine what portion of the three percent (3%) in-~~
 10 ~~crease permitted under this subparagraph that it requires and then~~
 11 ~~calculate a preliminary levy rate based on the percent chosen. In~~
 12 ~~calculating the preliminary levy rate, the most current taxable~~
 13 ~~market value shall be used, except that for taxable market values~~
 14 ~~of centrally assessed operating property, the prior year's val-~~
 15 ~~uation may be used instead of the current year's taxable market~~
 16 ~~values. The preliminary previous year's levy rate shall be multi-~~
 17 ~~plied by the value shown on the new construction roll compiled pur-~~
 18 ~~suant to section 63-301A, Idaho Code, and by ninety percent (90%)~~
 19 ~~of the value of annexation during the previous calendar year, as~~
 20 ~~certified by the state tax commission for taxable market values of~~
 21 ~~operating property of public utilities and by the county assessor;~~
 22 ~~except for a fire protection district annexing property prior to~~
 23 ~~July 1, 2021, pursuant to section 31-1429, Idaho Code, the new levy~~
 24 ~~rate shall be multiplied by one hundred percent (100%) of the value~~
 25 ~~of any such property annexed prior to July 1, 2021.~~

26 (ii) The following provisions shall apply in calculating the
 27 total allowable budget increase calculated under this paragraph
 28 must not exceed eight percent (8%), except that any:

29 1. For cities or counties with a population of fewer than ten
 30 thousand (10,000) people, as shown in the most recent annual
 31 population estimate reported by the United States census bu-
 32 reau, the total budget increase calculated under this para-
 33 graph shall not be subject to any limitation;

34 2. For cities or counties with a population of at least
 35 ten thousand (10,000) people but less than thirty thousand
 36 (30,000) people, as shown in the most recent annual popula-
 37 tion estimate reported by the United States census bureau,
 38 and all other taxing districts, the total budget increase
 39 calculated under this paragraph shall not exceed fifteen
 40 percent (15%);

41 3. For cities or counties with a population of thirty thou-
 42 sand (30,000) people or greater, as shown in the most recent
 43 annual population estimate reported by the United States
 44 census bureau, the total budget increase calculated under
 45 this paragraph shall not exceed eight percent (8%); and

46 4. Any increase in the amount of property tax revenue to
 47 finance an annual budget added as a result of the termi-
 48 nation, deannexation, plan modification of, or the with-
 49 drawal of certain taxing districts from, a revenue alloca-
 50 tion area of an urban renewal district pursuant to section

63-301A(3)(f), (i), (j), or (k), Idaho Code, or section 50-2908(1)(g), Idaho Code, shall not be subject to such limitation.

(iii) Following the first year in which a fire protection district has annexed city property pursuant to section 31-1429, Idaho Code, the city shall subtract an amount equal to the moneys spent on fire protection services during the last full year the city provided fire protection services to its residents from its budget limitation under this section.

(b) If the taxing district has not imposed a levy for three (3) or more years, the highest dollar amount of property taxes certified for its annual budget for the purpose of paragraph (a)(i) of this subsection shall be the dollar amount of property taxes certified for its annual budget during the last year in which a levy was made.

(c) The dollar amount of the actual budget request may be substituted for the amount in paragraph (a) of this subsection if the taxing district is newly created, except as may be provided in paragraph (i) of this subsection.

(d) This section does not apply to school district levies imposed in section 33-802, Idaho Code.

(e)(i) In the case of a nonschool district for which less than the maximum allowable increase in the dollar amount of property taxes is certified for annual budget purposes in any one (1) year, such a district may, in any following year, recover the forgone increase by certifying, in addition to any increase otherwise allowed, any or all of the increase originally forgone. Provided however, that prior to budgeting any forgone increase, the district must provide notice of its intent to do so, hold a public hearing that may be in conjunction with its annual budget hearing, and certify by resolution the amount of forgone increase to be budgeted and the specific purpose for which the forgone increase is being budgeted. Upon adoption of the resolution, the clerk of the district shall file a copy of the resolution with the county clerk and the state tax commission. Said additional amount shall be included in future calculations for increases as allowed, except as provided in subparagraph (iii) of this paragraph.

(ii) If the forgone increase is budgeted for the purpose of maintenance and operations, the rate of recovering the reserved forgone moneys may increase the taxing district's budget by no more than one percent (1%) per year.

(iii) If the forgone increase is budgeted for a capital project or projects, the rate of recovering the reserved forgone moneys may not exceed three percent (3%) of the taxing district's budget for the year in which the forgone increase is budgeted. Forgone moneys budgeted for a capital project must be deducted from the taxing district's forgone balance in the year in which it is budgeted. Upon completion of such a capital project, the taxing district shall certify such completion to the state tax commission and county clerk. If, upon certification, the state tax commission finds that the taxing district included forgone moneys for a capi-

tal project in calculating the increase permitted under paragraph (a) of this subsection, the state tax commission shall direct the taxing district to reduce its property tax budget for any year in which the forgone moneys were used to calculate a budget increase, in an amount equal to the forgone moneys budgeted plus any increases attributed to the forgone moneys improperly included in the taxing district's property tax budget. For the purpose of this paragraph, a capital project includes:

1. The construction, expansion, renovation, or replacement of public facilities, including the acquisition of land and other site improvements;
2. The construction, expansion, or reconstruction of public works improvements, including roads, bridges, water systems, sewer systems, and broadband systems; and
3. The purchase of equipment with a useful life of ten (10) years or more.

(f) If a taxing district elects to budget less than the maximum allowable increase in the dollar amount of property taxes, the taxing district may reserve the right to recover all or any portion of that year's forgone increase in a subsequent year by adoption of a resolution specifying the dollar amount of property taxes being reserved. Otherwise, that year's forgone increase may not be recovered under paragraph (e) of this subsection. The district must provide notice of its intent to do so and hold a public hearing that may be in conjunction with its annual budget hearing, if applicable. The resolution to reserve the right to recover the forgone increase for that year shall be adopted at the annual budget hearing of the taxing district if the district has a budget hearing requirement.

(g) In the case of cities, if the immediately preceding year's levy subject to the limitation provided by this section is less than 0.004, the city may increase its budget by an amount not to exceed the difference between 0.004 and the actual prior year's levy multiplied by the prior year's market value for assessment purposes. The additional amount must be approved by sixty percent (60%) of the voters voting on the question at an election called for that purpose and held on the date in May or November provided by law and may be included in the annual budget of the city for purposes of this section.

(h) A taxing district may submit to the electors within the district the question of whether the budget from property tax revenues may be increased beyond the amount authorized in this section, but not beyond the levy authorized by statute. The additional amount must be approved by sixty-six and two-thirds percent (66 2/3%) or more of the voters voting on the question at an election called for that purpose and held on the May or November dates provided by section 34-106, Idaho Code. If approved by the required minimum sixty-six and two-thirds percent (66 2/3%) of the voters voting at the election, the new budget amount shall be the base budget for the purposes of this section.

(i) When a nonschool district consolidates with another nonschool district or dissolves and a new district performing similar governmental functions as the dissolved district forms with the same boundaries

1 within three (3) years, the maximum amount of a budget of the district
 2 from property tax revenues shall not be greater than the sum of the
 3 amounts that would have been authorized by this section for the district
 4 itself or for the districts that were consolidated or dissolved and in-
 5 corporated into a new district.

6 (j) This section does not apply to cooperative service agency levies
 7 imposed in sections 33-317 and 33-317A, Idaho Code.

8 (k) The amount of money received in the twelve (12) months immediately
 9 preceding June 30 of the current tax year as a result of distributions of
 10 the tax provided in section 63-3502B(2), Idaho Code.

11 (2) In the case of fire districts, during the year immediately follow-
 12 ing the election of a public utility or public utilities to consent to be pro-
 13 vided fire protection pursuant to section 31-1425, Idaho Code, the maximum
 14 amount of property tax revenues permitted in subsection (1) of this section
 15 may be increased by an amount equal to the current year's taxable value of the
 16 consenting public utility or public utilities multiplied by that portion of
 17 the prior year's levy subject to the limitation provided by subsection (1) of
 18 this section.

19 (3) No board of county commissioners shall set a levy, nor shall the
 20 state tax commission approve a levy for annual budget purposes, which ex-
 21 ceeds the limitation imposed in subsection (1) of this section unless au-
 22 thority to exceed such limitation has been approved by a majority of the tax-
 23 ing district's electors voting on the question at an election called for that
 24 purpose and held pursuant to section 34-106, Idaho Code, provided however,
 25 that such voter approval shall be for a period of not to exceed two (2) years.

26 (4) The amount of property tax revenues to finance an annual budget does
 27 not include revenues from nonproperty tax sources and does not include rev-
 28 enue from levies for the payment of judicially confirmed obligations pur-
 29 suant to sections 63-1315 and 63-1316, Idaho Code, and revenue from levies
 30 that are voter-approved for bonds, override levies or supplemental levies,
 31 plant facilities reserve fund levies, school emergency fund levies, or for
 32 levies applicable to newly annexed property or for levies applicable to new
 33 construction as evidenced by the value of property subject to the occupancy
 34 tax pursuant to section 63-317, Idaho Code, for the preceding tax year. The
 35 amount of property tax revenues to finance an annual budget does not include
 36 any property taxes that were collected and refunded on property that is ex-
 37 empt from taxation, pursuant to section 63-1305C, Idaho Code.

38 (5) The amount of property tax revenues to finance an annual budget
 39 shall include moneys received as recovery of property tax for a revoked pro-
 40 visional property tax exemption under section 63-1305C, Idaho Code.

41 (6) For tax year 2023, before calculating the amount required in sub-
 42 section (1) (a) (i) of this section, the board of county commissioners shall
 43 reduce the approved property tax levy portion of its budget for the immedi-
 44 ate prior three (3) years in an amount equal to the amount levied for indigent
 45 public defense. The reduced budget amount shall be the base budget for the
 46 purpose of subsection (1) (a) (i) of this section.

47 SECTION 3. That Section 50-2903, Idaho Code, be, and the same is hereby
 48 amended to read as follows:

1 50-2903. DEFINITIONS. The following terms used in this chapter shall
2 have the following meanings, unless the context otherwise requires:

3 (1) "Act" or "this act" means this revenue allocation act.

4 (2) "Agency" or "urban renewal agency" means a public body created pur-
5 suant to section 50-2006, Idaho Code.

6 (3) "Authorized municipality" or "municipality" means any county or
7 incorporated city that has established an urban renewal agency or by or-
8 dinance has identified and created a competitively disadvantaged border
9 community.

10 (4) Except as provided in section 50-2903A, Idaho Code, "base assess-
11 ment roll" means the equalized assessment rolls, for all classes of taxable
12 property, on January 1 of the year in which the local governing body of an
13 authorized municipality passes an ordinance adopting or modifying an urban
14 renewal plan containing a revenue allocation financing provision, except
15 that the base assessment roll shall be adjusted as follows: the equalized
16 assessment valuation of the taxable property in a revenue allocation area
17 as shown upon the base assessment roll shall be reduced by the amount by
18 which the equalized assessed valuation as shown on the base assessment roll
19 exceeds the current equalized assessed valuation of any taxable property
20 located in the revenue allocation area and by the equalized assessed val-
21 uation of taxable property in such revenue allocation area that becomes
22 exempt from taxation subsequent to the date of the base assessment roll.
23 The equalized assessed valuation of the taxable property in a revenue allo-
24 cation area as shown on the base assessment roll shall be increased by the
25 equalized assessed valuation, as of the date of the base assessment roll, of
26 taxable property in such revenue allocation area that becomes taxable after
27 the date of the base assessment roll. Any increase in valuation due to prop-
28 erty owned, leased, or used in the operation of a business entity that makes
29 capital investments in one (1) or more data centers, as defined in section
30 63-3622VV(2)(f), Idaho Code, after July 1, 2020, in amounts of at least two
31 hundred fifty million dollars (\$250,000,000) in the aggregate within the
32 first five (5) years after commencement of construction, that creates and
33 maintains at least thirty (30) new jobs at the data center within two (2)
34 calendar years after the commencement of operations, and that is located in
35 a revenue allocation area for which no bonds have been issued pursuant to
36 section 50-2909, Idaho Code, as of March 16, 2023, shall be added to the base
37 assessment roll in the current tax year. An urban renewal plan containing
38 a revenue allocation financing provision adopted or modified prior to July
39 1, 2016, is not subject to section 50-2903A, Idaho Code. For plans adopted
40 or modified prior to July 1, 2016, and for subsequent modifications of those
41 urban renewal plans, the value of the base assessment roll of property within
42 the revenue allocation area shall be determined as if the modification had
43 not occurred.

44 (5) "Budget" means an annual estimate of revenues and expenses for the
45 following fiscal year of the agency. An agency shall, by September 1 of each
46 calendar year, adopt and publish, as described in section 50-1002, Idaho
47 Code, a budget for the next fiscal year. An agency may amend its adopted
48 budget using the same procedures as used for adoption of the budget. For
49 the fiscal year that immediately predates the termination date for an urban
50 renewal plan involving a revenue allocation area or will include the termi-

1 nation date, the agency shall adopt and publish a budget specifically for the
 2 projected revenues and expenses of the plan and make a determination as to
 3 whether the revenue allocation area can be terminated before the January 1
 4 of the termination year pursuant to the terms of section 50-2909(4), Idaho
 5 Code. In the event that the agency determines that current tax year revenues
 6 are sufficient to cover all estimated expenses for the current year and all
 7 future years, by September 1 the agency shall adopt a resolution advising and
 8 notifying the local governing body, the county auditor, and the state tax
 9 commission and recommending the adoption of an ordinance for termination of
 10 the revenue allocation area by December 31 of the current year and declaring
 11 a surplus to be distributed as described in section 50-2909, Idaho Code,
 12 should a surplus be determined to exist. The agency shall cause the ordi-
 13 nance to be filed with the office of the county recorder and the Idaho state
 14 tax commission as provided in section 63-215, Idaho Code. Upon notification
 15 of revenues sufficient to cover expenses as provided herein, the increment
 16 value of that revenue allocation area shall be included in the net taxable
 17 value of the appropriate taxing districts when calculating the subsequent
 18 property tax levies pursuant to section 63-803, Idaho Code. The increment
 19 value shall also be included in subsequent notification of taxable value for
 20 each taxing district pursuant to section 63-1312, Idaho Code, and subsequent
 21 certification of actual and adjusted market values for each school district
 22 pursuant to section 63-315, Idaho Code.

23 (6) "Clerk" means the clerk of the municipality.

24 (7) "Competitively disadvantaged border community area" means a parcel
 25 of land consisting of at least forty (40) acres that is situated within the
 26 jurisdiction of a county or an incorporated city and within twenty-five (25)
 27 miles of a state or international border, which the governing body of such
 28 county or incorporated city has determined by ordinance is disadvantaged in
 29 its ability to attract business, private investment, or commercial develop-
 30 ment as a result of a competitive advantage in the adjacent state or nation
 31 resulting from inequities or disparities in comparative sales taxes, income
 32 taxes, property taxes, population or unique geographic features.

33 (8) "Deteriorated area" means:

34 (a) Any area, including a slum area, in which there is a predominance
 35 of buildings or improvements, whether residential or nonresidential,
 36 which by reason of dilapidation, deterioration, age or obsolescence,
 37 inadequate provision for ventilation, light, air, sanitation, or open
 38 spaces, high density of population and overcrowding, or the existence
 39 of conditions that endanger life or property by fire and other causes,
 40 or any combination of such factors, is conducive to ill health, trans-
 41 mission of disease, infant mortality, juvenile delinquency, or crime,
 42 and is detrimental to the public health, safety, morals or welfare.

43 (b) Any area which by reason of the presence of a substantial number of
 44 deteriorated or deteriorating structures, predominance of defective or
 45 inadequate street layout, faulty lot layout in relation to size, ade-
 46 quacy, accessibility or usefulness, insanitary or unsafe conditions,
 47 deterioration of site or other improvements, diversity of ownership,
 48 tax or special assessment delinquency exceeding the fair value of the
 49 land, defective or unusual conditions of title, or the existence of con-
 50 ditions that endanger life or property by fire and other causes, or any

1 combination of such factors, results in economic underdevelopment of
 2 the area, substantially impairs or arrests the sound growth of a municipi-
 3 pality, retards the provision of housing accommodations or constitutes
 4 an economic or social liability and is a menace to the public health,
 5 safety, morals or welfare in its present condition and use.

6 (c) Any area which is predominately open and which because of obsolete
 7 platting, diversity of ownership, deterioration of structures or im-
 8 provements, or otherwise, results in economic underdevelopment of the
 9 area or substantially impairs or arrests the sound growth of a municipi-
 10 pality. The provisions of section 50-2008(d), Idaho Code, shall apply
 11 to open areas.

12 (d) Any area which the local governing body certifies is in need of
 13 redevelopment or rehabilitation as a result of a flood, storm, earth-
 14 quake, or other natural disaster or catastrophe respecting which the
 15 governor of the state has certified the need for disaster assistance
 16 under any federal law.

17 (e) Any area which by reason of its proximity to the border of an ad-
 18 jacent state is competitively disadvantaged in its ability to attract
 19 private investment, business or commercial development which would
 20 promote the purposes of this chapter.

21 (f) Deteriorated area does not mean not developed beyond agricultural,
 22 or any agricultural operation as defined in section 22-4502(1), Idaho
 23 Code, or any forest land as defined in section 63-1701(4), Idaho Code,
 24 unless the owner of the agricultural operation or the forest landowner
 25 of the forest land gives written consent to be included in the deterio-
 26 rated area, except for an agricultural operation or forest land that has
 27 not been used for three (3) consecutive years.

28 (9) "Facilities" means land, rights in land, buildings, structures,
 29 machinery, landscaping, extension of utility services, approaches, road-
 30 ways and parking, handling and storage areas, and similar auxiliary and re-
 31 lated facilities.

32 (10) "Increment value" means the total value calculated by summing the
 33 differences between the current equalized value of each taxable property in
 34 the revenue allocation area and that property's current base value on the
 35 base assessment roll, provided such difference is a positive value.

36 (11) "Local governing body" means the city council or board of county
 37 commissioners of a municipality.

38 (12) "Manufacturing project" means a manufacturing or industrial
 39 project and ancillary uses that manufactures, processes, or fabricates tan-
 40 gible personal property as defined in section 63-3616, Idaho Code.

41 (13) "Plan" or "urban renewal plan" means a plan, as it exists or may
 42 from time to time be amended, prepared and approved pursuant to sections
 43 50-2008 and 50-2905, Idaho Code, and any method or methods of financing such
 44 plan, which methods may include revenue allocation financing provisions.

45 (14) "Project" or "urban renewal project" or "competitively disadvan-
 46 taged border areas" may include undertakings and activities of a municipal-
 47 ity in an urban renewal area for the elimination of deteriorated or deterio-
 48 rating areas and for the prevention of the development or spread of slums and
 49 blight and may involve slum clearance and redevelopment in an urban renewal
 50 area, or rehabilitation or conservation in an urban renewal area, or any com-

1 bination or part thereof in accordance with an urban renewal plan. Such un-
 2 dertakings and activities may include:

3 (a) Acquisition of a deteriorated area or a deteriorating area or por-
 4 tion thereof;

5 (b) Demolition and removal of buildings and improvement;

6 (c) Installation, construction, or reconstruction of streets, utili-
 7 ties, parks, playgrounds, open space, off-street parking facilities,
 8 public facilities, public recreation and entertainment facilities or
 9 buildings and other improvements necessary for carrying out, in the ur-
 10 ban renewal area or competitively disadvantaged border community area,
 11 the urban renewal objectives of this act in accordance with the urban
 12 renewal plan or the competitively disadvantaged border community area
 13 ordinance.

14 (d) Disposition of any property acquired in the urban renewal area or
 15 the competitively disadvantaged border community area, including sale,
 16 initial leasing, or retention by the agency itself, or the municipality
 17 creating the competitively disadvantaged border community area at its
 18 fair value for uses in accordance with the urban renewal plan except for
 19 disposition of property to another public body;

20 (e) Carrying out plans for a program of voluntary or compulsory repair
 21 and rehabilitation of buildings or other improvements in accordance
 22 with the urban renewal plan;

23 (f) Acquisition of real property in the urban renewal area or the com-
 24 petitively disadvantaged border community area that, under the urban
 25 renewal plan, is to be repaired or rehabilitated for dwelling use or re-
 26 lated facilities, repair or rehabilitation of the structures for guid-
 27 ance purposes, and resale of the property;

28 (g) Acquisition of any other real property in the urban renewal area
 29 or competitively disadvantaged border community area where necessary
 30 to eliminate unhealthful, insanitary or unsafe conditions, lessen den-
 31 sity, eliminate obsolete or other uses detrimental to the public wel-
 32 fare, or otherwise to remove or to prevent the spread of blight or dete-
 33 rioration, or to provide land for needed public facilities or where nec-
 34 essary to accomplish the purposes for which a competitively disadvan-
 35 tagged border community area was created by ordinance;

36 (h) Lending or investing federal funds; ~~and~~

37 (i) Construction of foundations, platforms and other like structural
 38 forms; ~~and~~

39 (j) Acquisition, construction, rehabilitation, or improvement of
 40 buildings, facilities, or infrastructure related to providing emer-
 41 gency services.

42 (15) "Project costs" includes, but is not limited to:

43 (a) Capital costs, including the actual costs of the construction of
 44 public works or improvements, facilities, buildings, structures, and
 45 permanent fixtures; the demolition, alteration, remodeling, repair or
 46 reconstruction of existing buildings, structures, and permanent fix-
 47 tures; the acquisition of equipment; and the clearing and grading of
 48 land;

(b) Financing costs, including interest during construction and capitalized debt service or repair and replacement or other appropriate reserves;

(c) Real property assembly costs, meaning any deficit incurred from the sale or lease by a municipality of real or personal property within a revenue allocation district;

(d) Professional service costs, including those costs incurred for architectural, planning, engineering, and legal advice and services;

(e) Direct administrative costs, including reasonable charges for the time spent by city or county employees in connection with the implementation of a project plan;

(f) Relocation costs; and

(g) Costs related to emergency services, including equipment, vehicles, apparatus, or other items necessary to provide emergency services within a revenue allocation area and maintenance costs for such items; and

~~(g)~~ (h) Other costs incidental to any of the foregoing costs.

(16) "Revenue allocation area" means that portion of an urban renewal area or competitively disadvantaged border community area where the equalized assessed valuation, as shown by the taxable property assessment rolls, of which the local governing body has determined, on and as a part of an urban renewal plan, is likely to increase as a result of the initiation of an urban renewal project or competitively disadvantaged border community area. The base assessment roll or rolls of revenue allocation area or areas shall not exceed at any time ten percent (10%) of the current assessed valuation of all taxable property within the municipality.

(17) "State" means the state of Idaho.

(18) "Tax" or "taxes" means all property tax levies upon taxable property.

(19) "Taxable property" means taxable real property, personal property, operating property, or any other tangible or intangible property included on the equalized assessment rolls.

(20) "Taxing district" means a taxing district as defined in section 63-201, Idaho Code, as that section now exists or may hereafter be amended.

(21) "Termination date" means a specific date no later than twenty (20) years from the effective date of an urban renewal plan or as described in section 50-2904, Idaho Code, on which date the plan shall terminate. Every urban renewal plan shall have a termination date that can be modified or extended subject to the twenty (20) year maximum limitation, except as provided in section 50-2904(5), Idaho Code. Provided however, the duration of a revenue allocation financing provision may be extended as provided in section 50-2904, Idaho Code.";

and renumber the subsequent section accordingly.

CORRECTION TO TITLE

On page 1, delete lines 2 through 4, and insert:

"RELATING TO REVENUE AND TAXATION; AMENDING SECTION 63-301A, IDAHO CODE, TO REVISE A PROVISION REGARDING THE NEW CONSTRUCTION ROLL; AMENDING SECTION 63-802, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE LIMITATION ON BUDGET REQUESTS AND EXCEPTIONS; AMENDING SECTION 50-2903, IDAHO CODE, TO REVISE DEFINITIONS; AND DECLARING AN EMERGENCY.".